FULL TEXT OF MEASURE _____

ORDINANCE NO. 2026-03

AN ORDINANCE ADDING SECTION 4-16 TO CHAPTER 4 OF THE ALBANY MUNICIPAL CODE TO ENACT A SPECIAL PARCEL TAX TO FUND THE IMPROVEMENT AND MAINTENANCE OF CITY STREET TREES AND STREETLIGHTING

WHEREAS, Albany residents have identified strong and healthy street trees lining our public streets, as well as well-maintained streetlights and lighting fixtures as an important aspect of quality of life and a high priority for investment by the City; and

WHEREAS, such amenities contribute greatly to improvement of the City's air quality, landscape biodiversity, and safety for all travelers along our public streets and sidewalks, as well as the overall aesthetic character of the City; and

WHEREAS, the City of Albany, like all California cities, has faced decreasing revenues combined with increased costs for infrastructure investments and improvements, resulting in deferred or insufficient maintenance to many public facilities, including street trees and streetlighting; and

WHEREAS, a dedicated and continued source of additional funding is needed to increase the City's ability to care for Albany's street trees and streetlighting by way of improved and increased maintenance activities, capital improvements, and strong program administration for consistent delivery of services; the City has identified pathways forward to build resilient systems for both current and future generations in Albany to benefit and enjoy; and

WHEREAS, street trees are a vital part of Albany's urban landscape, providing shade, helping mitigate air pollution, creating beautiful and relaxing places, reducing stormwater

runoff, and supporting wildlife; and expanding the tree canopy with attention to biodiversity and maintaining street trees holistically would thereby improve urban forest resilience and protect against climate change-related impacts; and

WHEREAS, increasing investment into and improving management of the City's trees is discussed and prioritized in detail in the City's adopted guiding documents, including the Street Tree Management Plan (STMP, 2025), the Climate Action and Adaptation Plan (2019), the 2024-2026 City Council Strategic Plan, and Goal Con-2 in Albany's 2035 General Plan; and

WHEREAS, if authorized by voters, the revenues from the proposed special tax measure will enable implementation of the community's vision for holistic street tree management as adopted in the STMP, which includes but is not limited to increased planting to increase forest resilience and overall canopy cover in Albany, proactive pruning of the City's trees on a grid system, more comprehensive care for young trees to encourage longevity, more accurate data-driven decision-making through investment into geographic information system (GIS) technology, and City-run programming to connect with residents via volunteer events and education; and

WHEREAS, streetlighting is a key element in making Albany feel safe and comfortable at night and in low lighting conditions, improving visibility of pedestrians and cyclists in the public right-of-way, encouraging walking, biking, and other modes of non-motorized travel, helping drivers navigate safely and confidently, and supporting Albany businesses by making commercial areas more inviting after dark; and

WHEREAS, increasing investment into and improving the City's **s**treetlighting is discussed in detail in the City's adopted guiding documents, including the Citywide

Streetlighting Evaluation (Evaluation) performed in 2023-24, the Climate Action and Adaptation Plan (2019) in service of reduction of air emissions via reduction of motorized travel, the 2024-2026 City Council Strategic Plan regarding development of a more robust streetlighting program, and Goals T-4 and CSF-6 in Albany's 2025 General Plan, which specifically reference the related objectives of the benefits of energy conservation and "dark sky" considerations; and

WHEREAS, if authorized by voters, the revenues from the special tax measure will enable implementation of significant current unfunded or partially funded capital improvement efforts, including but not limited to the Citywide Streetlighting Renewal Project (CIP No. 24016) and the Critical Intersections Upgrades Project (CIP No. 25020), and will enable long-term support for streetlighting maintenance and improvements in both operating and capital divisions, including updating failed and failing lights, bringing existing lights up to adopted guidelines, adding new lighting in tandem with other public right-of-way and transportation capital enhancement projects as is feasible, and administering future evaluations and program support for these improvements; and

WHEREAS, funds collected from the proposed new special parcel tax would be held in a special fund separate from the General Fund, to be expended only on the two priorities highlighted above, in service of expanding and investing in these two important elements of City life; and

WHEREAS, the proposed new special parcel tax to be submitted to the voters is authorized by Article XIIIA of the California Constitution and Section 50075 of the California Government Code. It will be approved if two-thirds of voters voting on the measure vote in favor of it.

NOW THEREFORE, THE PEOPLE OF THE CITY OF ALBANY DO ORDAIN AS FOLLOWS:

Section 1. Section 4-16 is hereby added to Chapter 4 of the Albany Municipal Code, and shall read as follows:

"4-16 STREET TREES AND STREETLIGHTING SPECIAL PARCEL TAX

4-16.1 TITLE. This Article shall be known as the "City of Albany Street Trees and Streetlighting Special Parcel Tax."

4-16.2 DEFINITIONS.

A. "City" means the City of Albany.

B. "Consumer Price Index" or "CPI" means Consumer Price Index for All Urban Consumers (CPI-U) for San Francisco-Hayward as published by the U.S. Department of Labor, Bureau of Labor Statistics. If the Consumer Price Index is discontinued or revised, such other government index or computation with which it is replaced shall be used in order to obtain substantially the same result as would be obtained if the Consumer Price Index had not been discontinued or revised.

C. "Multi-family residential parcel" means all parcels that are improved with more than one residential unit.

D. "Owner" means the owner or owners of the real property located within the City.

E. "Parcel" means any real property designated by an assessor's parcel map and parcel number and carried on the secured property tax roll of the County of Alameda.

F. "Single-family residential parcel" means all parcels which are improved with only one residential unit.

G. "Special tax" means the special tax imposed by this Article.

H. "Street tree" refers to any trees in the public right of way generally located in the area between the curb and the sidewalk or in the roadway median.

I. "Street Trees Improvement and Maintenance" means both planting and maintenance of new street trees and the improvement and maintenance of existing street trees along the public streets and sidewalks in the City of Albany, and includes but is not limited to the following:

a. Planting new trees and coordinating care for young trees to increase potential longevity, including watering and mulching;

b. Pruning trees individually and on a grid basis;

c. Removing trees, stumps and concrete as authorized by law;

d. Maintaining and improving GIS asset and maintenance records;

e. Performing forest and tree assessments, inspections, and studies and producing related reports;

f. Other activities as outlined in the Albany Municipal Code or as deemed necessary for urban forest management by the Department of Public Works.

J. "Streetlighting Improvement and Maintenance" means installing new streetlights and streetlighting fixtures, and the improvement and maintenance of existing streetlights, streetlighting fixtures and related facilities, according to City-adopted ordinances, resolutions, policies and guidelines, and the providing of electrical power to said lights, fixtures and facilities, along the public streets and sidewalks in the City of Albany.

4-16.3 TAX IMPOSED.

A. An annual special tax in the amounts set forth in Section 4-16.4 is hereby imposed on every parcel of real property within the City.

B. The special tax constitutes a debt owed by the owner of each parcel of real property to the City. If the owner of a parcel is exempt from this tax, but this tax applies to the holder of the possessory interest in such parcel pursuant to subsection (D) below, then the special tax shall constitute a debt owed by the possessory interest holder.

C. The special tax shall be levied and collected on each parcel of real property within the City for which the owner receives a separate *ad valorem* property tax bill, at the same time and manner, and subject to the same penalties and procedures as *ad valorem* property taxes collected by the County of Alameda except as otherwise set forth in this Article. Additionally, the Finance Director may, from time to time and in their discretion, waive any applicable penalties for a taxpayer based upon the particular facts and circumstances.

D. Real property otherwise wholly exempted from *ad valorem* tax by state law shall also be exempted from any liability for the special tax. If the owner of real property is by law exempt from *ad valorem* taxation, the tax imposed shall be assessed to the holder of the possessory interest in such parcel, unless such holder is also by law exempt from *ad valorem* taxation. The special parcel tax shall not apply to: (A) any person, entity, parcel, or

property as to whom or which it is beyond the power of the City to impose the tax herein provided; and (B) any person qualifying for an exemption described in Section 4-16.3(E) below.

E. The tax imposed by this Section shall be subject to the exemptions and rebates set forth in this Section.

1. Single-family residential parcels and units on multi-family residential parcels shall be exempt from the special tax if they are owned and occupied by a person or persons whose combined family income, from all sources for the previous calendar year, is at or below the income level qualifying as "very low-income" for a family of such size under Section 8 of the United States Housing Act of 1937 (42 U.S.C.A. Sections 1437 *et seq.),* for such year. This application process will be in the form of self-certification under penalty of perjury. Owners must apply for the exemption provided for in this Section annually by application to the City in the manner and at the time set forth by the City Manager or designee. Such applications shall be on forms provided by the City Manager or designee and shall provide such information as they may require. If there is a need to audit an application, the City Manager or designee may require additional information, including, but not limited to, federal income tax returns and W-2 forms of owner-occupants eligible for this exemption.

2. Renters who reside in a rental unit within the City of Albany whose combined family income, from all sources for the previous calendar year, is at or below the income level qualifying as "very low-income" for a family of such size under Section 8 of the United State Housing Act of 1937 (42 U.S.C.A. Sections 1437 *et seq.),* for such year may apply for a rebate of the special tax imposed by this Section that applies to the rental unit in which they reside. Renters must apply for the rebate provided for in this Section annually by application to the City in the manner and at the time set forth by the City Manager or designee. Such applications shall be on forms provided by the City Manager or designee and shall provide such information as they may require. If there is a need to audit an application, the City Manager or designee may require additional information, including, but no limited to, federal income tax returns and W-2 forms of renter occupants eligible for this exemption. Only one such rebate shall be allowed annually to a rental unit.

3. Single-family residential parcels and units on multi-family residential parcels shall receive a 50% discount on the effective rate for the special tax if they are owned and occupied by a person or persons whose combined family income, from all sources for the previous calendar year, is at or below the income level qualifying as "low-income" for a family of such size under Section 8 of the United States Housing Act of 1937 (42 U.S.C.A. Sections 1437 *et seq.),* for such year. This application process will be in the form of self-

certification under penalty of perjury. Owners must apply for the exemption provided for in this Section annually by application to the City in the manner and at the time set forth by the City Manager or designee. Such applications shall be on forms provided by the City Manager or designee and shall provide such information as they may require. If there is a need to audit an application, the City Manager or designee may require additional information, including, but not limited to, federal income tax returns and W-2 forms of owner-occupants eligible for this exemption.

4. Renters who reside in a rental unit within the City of Albany whose combined family income, from all sources for the previous calendar year, is at or below the income level qualifying as "low-income" for a family of such size under Section 8 of the United State Housing Act of 1937 (42 U.S.C.A. Sections 1437 *et seq.),* for such year may apply for a rebate of 50% of the special tax imposed by this Section that applies to the rental unit in which they reside. Renters must apply for the rebate provided for in this Section annually by application to the City in the manner and at the time set forth by the City Manager or designee. Such applications shall be on forms provided by the City Manager or designee and shall provide such information as they may require. If there is a need to audit an application, the City Manager or designee may require additional information, including, but no limited to, federal income tax returns

and W-2 forms of renter occupants eligible for this exemption. Only one such rebate shall be allowed annually to a rental unit.

4-16.4 TAX RATES.

A. The rate of the special tax for fiscal year commencing July 1, 2027, shall be $0.0354 per lot square foot. The special tax shall be levied on only the first 500,000 square feet of any taxable lot and any remaining lot square footage above that figure on the same taxable lot shall not be so levied.

B. The tax rate noted above shall apply beginning July 1, 2027, and ending June 30, 2028. Commencing July 1, 2028, the tax rate shall be annually adjusted as set forth in this Section to reflect any increase in the Consumer Price Index beyond the first fiscal year the tax is levied. The tax rate per year on each parcel for each fiscal year subsequent to the first fiscal year shall be an amount determined as follows:

Tax rate for the current year	=	Tax rate for the preceding year	X	Change in Consumer Price Index from April of the immediately preceding year to April of the current year or 1.03, whichever is less

The adjustment identified above shall be subject to an annual cap of 3%. In no event shall the special tax rate for any type of parcel for any year be less than the amount established for the preceding year. If, in any such Consumer Price Index measurement period, the Consumer Price Index increase exceeds three percent (3%), the amount above three percent (3%) shall carryover to any subsequent fiscal year in which the applicable Consumer Price Index increase is less than three percent (3%), provided that the total increase in that fiscal year (the CPI-based increase for that year and any carried over increase from prior years) does not exceed three percent (3%).

C. The assessment roll data of the Alameda County Tax Assessor as of January 1 of each year and City records shall be used to determine the lot square footage of each parcel of real property for purposes of determining the amount of the special tax for each parcel and the use of each parcel to determine applicability of exemptions. Condominiums and other parcels that do not have assigned lot square footage shall be levied based on the total common area lot square footage, divided by the number of condominium units associated with that common area so that each condominium unit has an equal allocation of the total lot area.

D. For parcels divided by Tax Rate Area lines, the amount of the special tax for the portion of the parcel within Alameda County shall be calculated at the same rates as set forth above. For properties wholly within Alameda County and divided by Tax Rate Area lines into multiple parcels, the property shall be taxed as a single parcel at the rates set forth above.

4-16.5 COLLECTION OF TAX. The special tax shall be collected in the same manner as ordinary *ad valorem* taxes are collected and shall have the same lien priority and be subject to the same penalties and the same procedure and sale in cases of delinquency as provided for *ad valorem* taxes collected by the County of Alameda. The City Council may provide for other alternative methods of collection of the special tax by resolution.

4-16.6 COLLECTION OF UNPAID TAX. The amount of the special tax, any penalty, and any interest imposed under the provisions of this Article shall be deemed a debt to the City. Any person owing money under the provisions of this Article shall be personally liable to an action brought in the name of the City, at its option, for the recovery for such amount.

4-16.7 USE OF TAX REVENUE.

A. Revenue from the special tax, including penalties and interest thereon, shall be used only to pay the City's costs of acquiring, maintaining and using real and personal property, equipment and supplies, City-commissioned studies, City-retained services, City staff time and other City costs for Street Trees Improvement and Maintenance and Streetlighting Improvement and Maintenance, as such terms are defined in Subsections 4-16.2(I) and (J).

B. The City shall be authorized to issue bonds and other instruments of indebtedness, including entry into loans and other financial agreements, for the purposes set forth herein. The principal and interest of said debt, as well as the expenses of bond issuance or borrowing, may be secured by, serviced and paid for with revenues from this tax, on those terms and conditions as approved by the City Council.

C. Revenue from the special tax, including penalties and interest thereon, may also be used to pay for the costs of holding an election to seek voter approval of this Article, for the costs of administering the special tax, and for the costs of defending the special tax and this Article, including attorneys' fees and related costs.

4-16.8 ACCOUNTABILITY MEASURES. In accordance with the requirements of California Government Code Sections 50075.1 and 50075.3, the following accountability measures, among others, shall apply to the special tax:

A. A separate, special account, referred to as the Street Trees and Streetlighting Special Tax Fund, shall be utilized, into which the proceeds of the special tax, including penalties and interest earned on such proceeds, must continue to be deposited.

B. The specific purposes of the special tax are for the funding of street trees and streetlighting improvement and maintenance and for related election, administration, and legal fees as set forth in Section 4-16.7. The proceeds of the special tax shall be applied only to those specific purposes.

C. The Finance Director shall annually prepare and submit to the City Council a report regarding the special tax funds collected and expended, as well as any other information required by Government Code sections 50075.1 and 50075.3. At the Finance Director's option, the report may be submitted as a separately denoted section within the City's Annual Comprehensive Financial Report (ACFR).

4-16.9 ADMINISTRATION OF TAX. The City Council may establish rules and regulations that it determines are necessary and desirable for administration and implementation of this Article.

4-16.10 AMENDMENTS. This Article may only be amended by a vote of the people if the amendment would result in the special tax being imposed, extended, or increased in a manner not authorized by this Article, or if the amendment would substantially alter the purpose of the special tax. The City Council may enact other amendments including but not limited to amendments necessary to implement or administer the special tax.

4-16.11 TERM OF TAX. The authority to levy the special tax shall remain in effect until repealed by Albany voters voting at a subsequent duly-called regular or special election. Special taxes imposed prior to the repeal of this tax shall remain due and owing until paid, even after the authority to impose the special tax has been repealed."

Section 2. The People of the City of Albany find that all Recitals contained in this Ordinance are true and correct and are incorporated herein by reference.

Section 3. This Ordinance is exempt from the California Environmental Quality Act (Public Resources Code §§ 21000 et seq., "CEQA," and 14 Cal. Code Reg. §§ 15000 et seq., "CEQA Guidelines"). The special tax authorized by this Ordinance is a special tax that can only be used to fund the projects, facilities, and services described in the Ordinance but does not approve any of the described projects or services. As such, under CEQA Guidelines section 15378(b)(4), the special tax is not a project within the meaning of CEQA because it creates a government funding mechanism that does not involve any commitment to any specific project or service that may result in a potentially significant physical impact on the environment. If revenue from the tax were used for a purpose that would have such effect, the City would undertake the required CEQA review for that particular project or service. Therefore, pursuant to CEQA Guidelines Section 15060, review of the Ordinance under CEQA is not required. Prior to commencement of any project or service funded by the special tax, any necessary environmental review required by CEQA shall be completed. The City shall perform CEQA analysis for the project prior to approving the project or service, if the project or service requires analysis under CEQA.

Section 4. If any provision of this Ordinance is held by any court or by any Federal or State agency of competent jurisdiction, to be invalid as conflicting with any Federal or State law, rule or regulation now or hereafter in effect, or is held by such court or agency to be modified in any way in order to conform to the requirements of any such law, rule or regulation, such provision shall be considered a separate, distinct, and independent part of this ordinance, and such holding shall not affect the validity and enforceability of all other provisions hereof. In the event that such law, rule or regulation is subsequently repealed, rescinded, amended or

otherwise changed, so that the provision thereof which had previously been held invalid or modified is no longer in conflict with such law, rule or regulation, said provision shall thereupon return to full force and effect and shall thereafter be binding. If any section, subsection, phrase, clause, sentence, or word in this Ordinance shall for any reason be held invalid or unconstitutional by a court of competent jurisdiction, it shall not nullify the remainder of this Ordinance but shall be confined to the article, section, subsection, subdivision, clause, sentence or word so held invalid or unconstitutional.

Section 5. This Ordinance shall be considered adopted on the date that the City Council declares the results of the election at which it was voted upon and shall be effective ten (10) days thereafter.

Ordinance No. 2026-03 was submitted to the People of the City of Albany at the November 3, 2026 General Municipal Election. It was approved by the following vote of the People:

YES: _____

NO: _____

Ordinance No. 2026-03 was thereby adopted by the voters at the November 3, 2026 election and took effect upon adoption of a resolution declaring the results of the election at a regular meeting of the City Council held on _____, 2026, by the following vote:

AYES:

NOES:

ABSENT:

ABSTAIN:

I HEREBY CERTIFY that the foregoing is a true and correct copy of an ordinance duly and regularly adopted by the People of the City of Albany, California.

_____

Anne Hsu, City Clerk